ENCAP INVESTMENTS L.P.

CONTROLS and PROCEDURES MANUAL

as of October 1, 2023

EnCap Investments L.P.
Controls and Procedures Manual

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Refer to EnCap Compliance Manual.

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EnCap Investments L.P.
Treasury Cycle Process

Treasury Function

Jonathan Patrick, Controller, with the assistance of Katherine Cangelosi, Assistant Controller, and an Accounting Assistant, performs the day-to-day treasury function, including accumulating daily cash needs from the company's investment managers and managing cash flows to meet those needs. Jonathan Patrick also monitors portfolio investments, manages the funding of investments and invests overnight cash balances, as needed. All significant activity and decisions are discussed with and approved by Craig Friou, CFO. At present, the Accounting Assistant role is shared by other members of the group.

Daily Activities

The Daily Cash Report is prepared on a daily basis by Katherine Cangelosi. In her absence, other members of the group prepare the Cash Report. The source information is retrieved from the banks electronically. Katherine Cangelosi then reviews and summarizes this report on the front page, and Jonathan Patrick and Craig Friou review this report on a daily basis for accuracy and completeness. Craig Friou provides a weekly summary of cash activity to each partner for review.

Katherine Cangelosi utilizes this Cash Report to prepare the Cash Investment Summary when unused cash balances are being invested. The Cash Investment Summary shows all cash that is invested overnight from Amegy Bank accounts. Katherine Cangelosi is responsible for preparing wire transfers for portfolio company investments and for investor distributions. Jonathan Patrick also reviews all expenses charged to funds to ensure that the amounts are appropriate. This information is approved by Craig Friou. Jason Morgan, Director of Accounting and Financial Reporting, or Cole Sanches, Senior VP of Financial Reporting, agrees all activity to the fund general ledgers and resulting balances to the financial statements. Jason Morgan or Cole Sanches also prepares partner level Statements of Partner’s Capital reports from the cash call and distribution summaries and reconciles these reports to the general ledger/financial statements.

Jane Gu, Senior Accountant, maintains the cash files (bank statements, reconciliations, electronic advices, supporting documents) for EnCap Investments L.P. (the management company) and Katherine Cangelosi maintains the cash files (bank statements, electronic advices, supporting documents) for all of the Funds. Jason Morgan, Director of Accounting and Financial Reporting, or Cole Sanches, Senior VP of Financial Reporting, reconciles each of the bank accounts for the respective Funds to the general ledger.

Checks

All capital calls, distributions and portfolio company investment funding are done using wire transfers. Very few of these activities involve manual checks. Checks can be issued for the payments for federal and state taxes, but the requirement of electronic payment for both federal and state taxes is becoming more common. Therefore, checks being issued would be identifiable and noticed if it was outside of normal business operations. Checks received by the Company are immediately forwarded by the receptionist to the Accounting Assistant who records them in the check log. The Accounting Assistant then forwards checks to Jonathan Patrick. Katherine Cangelosi is responsible for preparing the bank deposit, and Jonathan Patrick reviews the information for accuracy and completeness, as well as to maintain proper segregation of duties. Additionally, the Accounting Assistant is not a signatory on the bank accounts and cannot cash a check for EnCap Funds, thus helping prevent misappropriation of Company assets.

Segregation of Duties

Manual checks received for deposit – As discussed above, checks are opened by receptionist, logged by Accounting Assistant, forwarded to Jonathan Patrick, and deposited by Katherine Cangelosi. As the investment payments are usually stated in advance, there is a general awareness of the money that should be coming to the funds. Therefore, the CFO and Controller have awareness of the general timing of payments. This helps prevent opportunities for payments to be misappropriated by the receptionist. Additionally, the receptionist cannot cash the investment checks as she is not an authorized signatory to any company accounts.

Wire Transfers - Management has established policies and procedures addressing the approval and processing of wire transfer transactions. Access to the internet banking portal is restricted and requires dual administrator approvals to change user profiles or admit new users. Further, wire transfers require the use of individually assigned security tokens with multi-factor authentication.

- Wire Transfer Instructions
    - Investors
        - Within each investor’s Subscription Agreement for a fund, each investor provides wire instructions where proceeds from a fund distribution are to be sent. These instructions are compared with instructions on hand for previous funds or verbally confirmed if different with a contact person on file at that investor.
    - Portfolio Companies
        - Wiring instructions are provided by portfolio companies with every capital call, including contact information for the Chief Financial Officer or Controller for the Portfolio Company, and are additionally reflected on the funding request as signed by investment staff and a partner.

    - Any changes in wiring instructions are verbally confirmed via callback to the Portfolio Company.
  - Templates
    - Repetitive wire instructions are set up as a "template" on the portal of the banking system to be used for wires. Templates reduce the likelihood of error and cannot be changed without approval.
    - Templates, with appropriate back-up, are entered into the banking system by either the Assistant Controller or Accounting Assistant, reviewed by the Controller and approved by the CFO.

- Initiating Wire transfers
  - Wires are initiated by the Controller, Assistant Controller or Accounting Assistant and are approved by the CFO. The Sr. Accountant (Treasury) is an additional back-up for wire initiation.
  - Except for direct expenses of EnCap International IX Cooperatief U.A. (the legacy entity for Modern Resources and Sierra Oil & Gas in Fund IX) via Intertrust, all wires are initiated and approved on the banking portal. The Controller obtains the necessary internal approval at EnCap for EnCap International Cooperatief U.A. expenses and authorizes payment to be made by Intertrust.
  - Investors
    - Generally, all investor wire transfers are initiated as part of a distribution and are entered using previously approved templates and standing wire instructions.
    - In the event an investor requires a wire outside of the distribution process (e.g., overfunding a capital call), a request is made for appropriate wiring instructions from the investor and then the investor wire procedures are followed.
  - Portfolio Companies – Accompanied by properly approved funding request documentation, all funding wires are initiated in the internet banking system, using previously approved templates or wiring instructions with appropriate documentation, by the Controller, Assistant Controller or Accounting Assistant and approved by the CFO.

EnCap Investments L.P.
Capital Cycle Process

Capital Commitments

All capital commitments are agreed upon by the General Partner within each Limited Partner's Subscription Agreement. If there is any change in the capital commitment amount, there is an amendment to the partnership agreement.

Capital Call

When a capital call is necessary, the following occurs:

- The respective investment team will receive a written request from the portfolio company which has been approved by the board of directors/managers of the portfolio company. A funding request, as approved by one of the managing partners, is then submitted to Jonathan Patrick, Controller. The cash balance is evaluated to determine if there is sufficient cash on hand to fill the request or if a capital call is needed to be requested from the limited partners. The funding request is placed on the Outlook Treasury Calendar, on the cash projections spreadsheet and in the capital call physical file by funding date.
- If a capital call request is necessary, Katherine Cangelosi, Assistant Controller, prepares the schedules, notices and letters. Following review by Jonathan Patrick, Controller, and approval by Craig Friou, CFO, the request is sent by e-mail via Data Exchange by Katherine Cangelosi to the limited partners.
- Concurrent with preparing each capital call, a collections file is created which details the amount due from each limited partner. Upon receipt of funds, the description from the wire is matched to the limited partner name on thecollections file. When the match is made, the date of receipt and amount is recorded. The amount received is compared to the amount due and any discrepancies are communicated to the limited partner in order to resolve.
- On the portfolio company funding date, following final approval from the deal team, the funding (wire letter and supporting documentation) is prepared and initiated by Katherine Cangelosi, Assistant Controller, and reviewed by Jonathan Patrick, Controller. The wires and transfers are then approved by Craig Friou, CFO.

Capital Distribution / Income Allocation process

Distributions are made periodically as funds are received from portfolio companies. The decision as to when to make a cash distribution from the funds to the limited partners is based on the current amount of distributable proceeds held in the fund as well as any near-term proceeds expected to be received. This decision to distribute funds is made by Craig Friou, CFO.

Upon the decision to initiate a distribution to limited partners, schedules, footnotes, letters and notices are prepared by Jonathan Patrick, Controller. Following a review and final approval of the distribution package by Craig Friou, CFO, letters, schedules, and footnotes are sent to the investors by Katherine Cangelosi. The following day, Katherine Cangelosi, Assistant Controller, prepares the wire letters from the distribution schedules and initiates the wires and transfers in the bank system. A check total report is run after the wires are entered and tied to the distribution schedules. Craig Friou, CFO, approves all wires and transfers.

The "waterfall calculation," which is prepared by Jason Morgan, Director of Accounting and Financial Reporting, and reviewed by Craig Friou, CFO, no less than quarterly, determines the proper income allocation as well as when payout has been reached. Distribution percentages are then modified pursuant to the partnership agreement.

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EnCap Investments L.P.
Expense Cycle Process

Operating expenses

Operating expenses include (1) management fees and (2) other operating expenses (e.g., legal services, engineering services, and accounting services such as audit and tax return preparation).

Management fees

Management fees are paid by the fund to the GP in accordance with the partnership agreement. The management fees are calculated on a quarterly basis by Jonathan Patrick, Controller, reviewed by Craig Friou, CFO, paid by Jonathan Patrick, Controller and then entered into the general ledger by John Stricker, Senior Accountant, or Cole Sanches, Senior VP Financial Reporting.

The calculation of the management fee is determined by the relevant partnership agreement but is typically an annual fee equal to 1.5% of commitments during the "Initial Period". After the expiration of the "Initial Period", the annual fee is 1.5% of the "Base Amount" which is typically calculated as:

- Capital contributions made by the Partners to the Partnership to fund Portfolio Investments.
- Less amounts distributed to the Partners to the extent such amounts constitute a return of capital.
- Less any amounts for a Portfolio Investment where the General Partner has determined that part or all of such Portfolio Investment will not be repaid or recouped by the Partnership.

The amount, if any, is defined within the relevant partnership agreement as that part or all of a portfolio investment that will not be repaid or recouped by the relevant fund (including the amount of any resulting loss on a portfolio investment in connection with the final disposition of a portfolio investment). The amount is not synonymous with a decrease in mark-to-market fair value and is a matter of significant judgment. An analysis is prepared each quarter by Craig Friou, CFO, to identify portfolio investments which may not be recouped or repaid. The following is considered:

- This review utilizes information available on the first day of the quarter to which the management fee is calculated. If new information becomes available during the quarter, it will be taken into account during the review beginning the first day of the subsequent quarter.
- The language of the relevant partnership agreement requires an adjustment to the Base

Amount only for amounts that "will not be repaid or recouped". That is, if there is any chance at all of recovery, however improbable, there would not be a required adjustment to the Base Amount. Examples of temporary adverse consequences that would not be viewed as - by themselves - indicating that invested capital will not be repaid or recouped are:
  - Decreases in commodity prices;
  - Increases in operating and capital costs;
  - Change in M&A activity in an area.

- However, examples of situations that might be indicative that invested capital will not be repaid or recouped include:
  - Drilling dry holes;
  - Bankruptcy;
  - Loss of acreage due to lease expiration prior to being held by production.

The analysis prepared would generally not consider any investment with a current mark-to-market fair value representing a 0.7x ROI or higher, as getting 1.5x realized (to get to 1.0x ROI) is not uncommon in private equity.

Investments with a current mark-to-market fair value representing a 0.7x ROI or lower will be investigated further for consideration of whether the root causes of the decrease in valuation are of a temporary nature or not (including for instance the examples above). If the root cause of the decrease in valuation is not temporary in nature, a "best-case" valuation will be done using assumptions (e.g., commodity prices, acreage value) on the high end of the range of reasonable assumptions. An example of what might make an assumption reasonable could be assumptions that were true at any point in the fund's history. Note that the newer the fund, the more time there is to realize the investment and therefore the greater the likelihood that the "best-case" assumptions may come to bear.

If, after application of best-case scenario assumptions, it appears that part of the investment will not be repaid or recouped, an adjustment to the Base Amount is proposed. The proposed Base Amount is presented by the CFO to the Investment Committee for revision based on its input, if any, and approval. The approved Base Amount is communicated to Jonathan Patrick for him to calculate the Management Fees to be charged to the funds.

Other operating expenses

Other expenses are paid by EnCap Investments on behalf of the funds and subsequently billed to the fund(s). The management company requests reimbursement for these expenses on a quarterly basis. At the end of each quarter, the funds reimburse the management company based on EnCap's receivable balance at the time. The management company provides the funds with detailed support listing the individual costs which make up the quarterly reimbursement.

When invoices are received, they are approved for payment by a representative from the appropriate department (Investor Relations, Tax, Financial Reporting, Investment Staff, Administrative Staff). Invoices related to more than one fund are allocated based on the Expense Allocation Process. The invoices are coded by Jane Gu, Senior Accountant, and the coding is approved by Jonathan Patrick, Controller. The invoices are processed through the accounting software, and the checks are prepared and issued by Jane Gu, Senior Accountant. Most invoices are paid via check with which a Managing Partner will sign. Some invoices are paid via wire which are prepared by either the Accounting Assistant, Jane Gu, Senior Accountant, or Katherine Cangelosi, Assistant Controller, reviewed by Jonathan Patrick, Controller, and approved by Craig Friou, CFO.

If the invoice is to be reimbursed to EnCap from one or more funds, it is first coded to a receivable account. All invoices coded to a receivable account are billed to the appropriate fund at the end of the quarter. The support for the reimbursement is provided to the funds and the payment of the reimbursement amount is prepared by Katherine Cangelosi, Assistant Controller, or Jane Gu, Senior Accountant, and reviewed by Jonathan Patrick, Controller.

Expenses Associated with Fees Payable to Related Parties

Refer to EnCap Compliance Manual.

EnCap Investments L.P.
Expense Allocation Process

EnCap Investments L.P., as General Partner, incurs direct, out-of-pocket costs related to the management, conduct and operation of its funds. Each invoice that is processed is evaluated as to which entities should bear or share the cost and coded accordingly as a receivable due to EnCap Investments L.P. If an expense is determined to be borne by a fund, it is further evaluated to determine whether it is an operating or organizational cost. In general, the allocation of costs follows the ensuing criteria and processes:

- The vendor provides the specific allocation within an Engagement Letter or via other communication related to an invoice. This allocation is confirmed with the employee at EnCap which manages the vendor relationship and coded accordingly.
- An invoice is determined to be shared across entities and allocated either equally, in proportion by total limited partner commitments to the corresponding funds, or in proportion to commitments made to a portfolio company by more than one fund.

Specific transaction types which provide exceptions to these general rules include the following:

- Annual Investor Conference Allocation: Expenses incurred related to the annual investor conference are accumulated in a prepaid account on EnCap Investments L.P.'s (EnCap's) books through the end of the calendar year following the conference. Several different formulas are used to determine the allocation breakout between EnCap and the funds discussed at the conference. If the conference is held in person, the first calculation compares the number of EnCap attendees to the number of investor and portfolio attendees. This ratio is then used to determine EnCap's allocation of the conference meals and use of the facility rooms. EnCap is charged one hundred percent of the entertainment/speaker expenses, supplies and employee travel expenses. The funds discussed at the conference in total are charged one hundred percent of the printing and mailing expenses in addition to their share of remaining amounts after EnCap's allocation of conference meals and facility costs. A second formula is used to determine the amount to be charged to each fund discussed at the conference. This formula is based on the existing funds' ratio of total commitment. If the conference is virtual, all costs are allocated to the funds discussed at the conference based on the existing funds' ratio of total commitment.
- Professional Liability Insurance Allocation: Based on an annual review of insurance policies and costs by the CFO, expenses incurred for professional liability insurance are allocated 20% to EnCap and 80% to the funds. The funds' portion is then allocated to the funds based on the ratio of total commitment. Annually, the CFO documents the basis for this allocation split or updates it.
- ESG Consulting Fees – Expenses incurred related to consultation in preparing EnCap & its Funds sustainability reporting are allocated to the funds to which the report relates.

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The funds' portion is then allocated to the related funds based on the ratio of total commitment.

- Donnelley Active Disclosure Fees – Expenses incurred related to Donnelley Financial's Active Disclosure software are allocated equally to all Funds that use the software.
- FIS Investran Software Costs – Expenses incurred related to the annual FIS Investran software license and support are allocated between EnCap and the funds that use the Investran software in proportion to the number of user licenses used for EnCap versus fund accounting and reporting.
- OneSource Software Costs – Expenses incurred related to the OneSource software license are allocated between EnCap and the funds based on an average of the last two years Engagement Letter fees broken down between EnCap and the funds. Then, the remaining costs are allocated based on an average of the last two year's portfolio company K-1 templates by Fund.

Funds make payments at the end of each quarter based on the amount owed to the General Partner at the time of payment, assuming availability of funds.

EnCap Investments L.P.
Financial Reporting Process

Period End Financial Reporting Process

At the close of all quarters, the following is performed for EnCap Funds VII-XI, EFM Funds I-IV and ETF:

- John Stricker, Senior Accountant, enters all ETF and upstream fund (except Fund X) journal entries for cash activity and gain/loss activity for the quarter. Cole Sanches, Senior Vice President of Financial Reporting, enters all midstream fund (and Fund X) journal entries for cash activity and gain/loss activity for the quarter. All ETF, upstream and midstream funds employ Investran as the general ledger system. The ETF, upstream and midstream fund general ledgers are submitted to Jason Morgan, Director of Accounting and Financial Reporting, for review.
- Jason Morgan and Cole Sanches update the quarterly supporting schedules for all funds including the investment rollforward, period end expense accruals and portfolio valuation adjustments and compares with the general ledgers for accuracy and completeness. Jason and Cole obtain any necessary period end accruals for each fund from Jane Gu, Senior Accountant, and record journal entries in Investran.
- The valuation process is performed by Craig Friou, CFO, and Jason Hajdik, Director, and involves input and review by all investment staff and partners and review by each fund's Advisory Board (see separate Valuation Policy and Procedures memorandum). Portfolio company valuation journal entries are communicated to Financial Reporting personnel who record them quarterly in Investran.
- Once income statements are finalized, Melissa Standley, Head of Tax, Caleb Allen, Tax Senior Manager, or Leigh Anne Hooper, Tax Senior, provides an estimated tax provision entry to Jason Morgan or Cole Sanches for any tax paying entity. Jason or Cole then records the journal entry in Investran.
- Jason Morgan updates the payout schedule for each fund quarterly based on the timing and nature of each fund's cash flows. The payout schedule tracks each LP's 8% preferred return as determined in the Limited Partner Agreement and includes the partners' capital waterfall model. These cash flows are tracked in the applicable fund's 30/15 day Master File updated quarterly by Jonathan Patrick, Controller. Once Jason has updated the cash activity for the quarter from the Master File, he reconciles the payout schedule with the general ledger to ensure completeness and accuracy.
- Once all general ledger entries are complete and accurate and total partners' capital is final, Jason or Cole will run the total partners' capital balance through the waterfall model in the payout schedule, if applicable, and record any necessary unrealized incentive fee allocation adjustment between the GP and LPs. After a fund reaches post catch-up payout, the waterfall model is no longer utilized and the GP/LP split of total partners' capital is determined based on a set percentage (post catch-up split,

approximately 80/20).

- Jason Morgan and Cole Sanches complete the financial statements in Excel and update the footnotes which are then reviewed by Craig Friou. Once the financial statements are finalized, they are included in each fund's applicable quarterly report and emailed to investors through the Data Exchange web portal by Cole Sanches or John Stricker.
- Investran automatically generates the partner's capital files. Once all entries are complete in Investran, Cole Sanches or John Stricker runs the LP Statement of Partner's Capital report for each fund and recalculates all LP capital balances to ensure the accuracy of the report. Cole Sanches or John Stricker then splits this Investran report out by LP and posts to the Data Exchange web portal. Cole or John compares total uploads to total LPs by fund to ensure all LP reports uploaded successfully.

At year end, the following is also performed:

- Each feeder fund's Blocker company debt/equity splits and interest expense calculations are updated by Jason Morgan or Cole Sanches. Melissa Standley utilizes this information to determine the final tax provision entry which is provided to Jason Morgan and Cole Sanches. Jason and Cole also determine the final Blocker dividend which Melissa utilizes in preparing the Blocker Corp and LP tax returns.
- Jason Morgan and Cole Sanches update the financial statements for valuation adjustments and any audit adjustments and final audited financial statements are posted to the Data Exchange web portal by Cole Sanches or John Stricker.

Tax - Financial Reporting Coordination

<u>Blocker Fund Tax Provision Process (Quarterly)</u>

1. ~10-20 Days After Quarter End – Tax sends the final quarterly tax payment/refund schedule to Financial Reporting. Financial Reporting compares the quarterly tax payment/refund schedule to the balances to ensure the amounts booked are recorded accurately and to the correct entity. Financial Reporting finishes updating the (pre-tax) Main Fund F/S for valuations & incentive fee accruals and updates the Feeder fund F/S and loan schedule. Once these schedules are updated, Financial Reporting sends an email to Tax letting them know that all tax payments/refunds have been appropriately recorded and reconciled to the quarterly tax payment/refund schedule, the pre-tax F/S amounts are final, and Tax should begin the provisioning process. The email should include the book balances from Investran to document what the amounts are at the time (prior to provision).

2. ~20-25 Days After Quarter End – Tax prepares the current tax provision, deferred tax schedules, and taxes payable account rollforward. As a part of this process, Tax compares the tax balances per the provision workpapers to the book balances (per step 1 above). Tax also compares the book income before tax per the F/S to the provision

workpapers. Tax then communicates any payments or refunds which appear to be booked incorrectly, provides the provision information needed for Financial Reporting to update the financial statements, and (annually) prepares footnotes for the calculated tax provision.

3. ~25-30 Days After Quarter End - Financial Reporting records the tax provision JE in Investran and updates the Feeder Fund F/S using the journal entry provided by Tax.

<u>Main/D Fund Tax Payable Reconciliation Process (Annually for September 30)</u>

1. Late September – Treasury initiates all transactions (transfers of cash) to clear receivable/payable balances between funds and EnCap unless there is a commercial reason not to make the transfer/payment.

2. October 10 - Financial Reporting runs a G/L report showing all taxes payable balances for the Main and D Funds. Financial Reporting sends this G/L report to Tax to reconcile to their tax workpapers.

3. October 20 - Tax reconciles the taxes payable balances per the G/L report to their tax workpapers and informs financial reporting of any true up adjustments that need to be made to the GL balances.

4. Late October – Financial Reporting records any necessary adjustment JEs to the Main and D Fund tax payable balances in Investran (and the F/S) during the Q3 accounting and reporting process in October. Financial Reporting does final review of any activity or changes in accounts booked after running the G/L on October 1 and resolves with Tax

<u>Main/D Fund Tax Payable Reconciliation Process (all other quarters)</u>

The process for the other three quarters is the same as above except that differences individually and in aggregate that are de minimis (a threshold to be approved by CFO) do not require adjustment until September 30.

Monthly Investment Reporting Process

Workday	Tasks to be Completed
Month-end + 1 BD	Month-end cash report completed by Treasury.
Month-end + 2 BD	Month-end cash report completed by Treasury (continued).
Month-end + 3 BD	FR team books portfolio related JEs for previous month. Director of FR team performs portfolio related JE review.
Month-end + 4 BD	Director of FR performs portfolio related JE review (continued). Once review is complete, FR team runs Investran Report Wizard reports and sends to Power BI team. Power BI team creates Investment Status/Detail Reports in Power BI. FR team also runs Investran Investment Status Report flat file with investment cash flow detail.
Month-end + 5 BD	Power BI team creates Investment Status/Detail Reports in Power BI (continued)
Month-end + 6 BD	Power BI team creates Investment Status/Detail Report in Power BI (continued). FR team reviews Investment Status/Detail Report outputs.
Month-end + 7 BD	CFO reviews final Investment Status/Detail Reports. CFO sends Investment Status/Detail reports & Investran Investment Status Report flat file out to Investment Staff.

Return of Capital Considerations

When portfolio companies make distributions to the Fund, it is important to make a distinction between a return <u>of</u> capital and a return <u>on</u> capital in order to properly account for the distribution.

<u>Distribution resulting from sale of an asset</u>
The first consideration is whether the distribution is the result of a sale of underlying assets. If the distribution is the result of a sale of assets, the relevant deal team must provide the corresponding cost basis of what was sold. That cost basis will be treated as a return of capital and the difference between the return of capital and the distribution will be treated as return on capital (typical a realized gain or loss on sale).

<u>Distribution representing interest or dividend income</u>
Receipts of interest or dividend income would be uncommon from private company investments, but public company securities (including stock, debt, and preferred instruments) often make such distributions. These distributions would never be considered a return of capital unless it is a "liquidating dividend."

Distribution resulting from operations

If, however, the distributions are from operating income (and not from the sale of underlying assets), further work is necessary to consider whether any of the distribution is a return of capital and if so, how much.

Such distributions are typically from minerals companies; however, upstream companies with working interests as well as midstream and renewables companies also make such distributions from operating income.

Our policy for such distributions is that if their current Fair Value is greater than cost, then there is no return of capital but for distributions on companies with Fair Value less than cost, the whole distribution is treated as a return of capital.

Application of the policy:

1. The determination of whether Fair Value is greater than cost should be made based on the most recently issued financial statements.
2. For 4th Quarter financial statements, issuance occurs when the quarterly reports containing valuations are sent to investors in late February, not when the audited financial statements are sent in late March.
3. The determination is made at the time of the distribution*. (I.e., what are the most recently issued financial statements as of the date of distribution?)
4. The Fair Value that is compared to cost should be reduced by the amount of distribution being assessed.

For example, assume a situation where Fair Value becomes less than cost as of December 31, 2019, and is reflected in the December 31, 2019, quarterly report issued February 28, 2020. A distribution made in February 2020 would look to the September 30, 2019, financial statements to determine if the Fair Value is greater than cost and if it is, the distribution is made without any capital being considered returned. The March 31, 2020, financial statements would similarly show no return of capital even though at March 31, 2020, the Fair Value is greater cost. All distributions after the March 31, 2020, financial statements issuance would be considered returns of capital assuming the fair value remains less than cost going forward.

Benefits of applying our policy in this manner:

- We should not make determinations based on preliminary valuation information that has not yet fully gone through our review process
- A determination of return of capital has to be reported as part of the distribution at the time of distribution. The financial reporting that comes later should not have a contradicting view on what is a return of capital.

The intent of this policy is to simplify and create consistency in the determination of the amount of return of capital. The application of judgment may still be required for any distribution when the application of this policy results in an invested capital amount that is higher than what might reasonably be returned (for example, a large distribution made in a period of significant decline of value immediately prior to issuance of financial statements.)

* Note that in a situation where a distribution from the portfolio company is made to the Fund but the distribution is not yet made to the investors at the time of financial statement issuance (typically smaller distributions), then the decision on whether a distribution is a return of capital would be made based on Fair Value in the financial statements reflecting the transaction and then the subsequent distribution would follow. In the example above with a February 2020 distribution to the fund, assume that the fund distributes to investors in May 2020. In preparation of the March 31, 2020, financial statements the March 31, 2020, Fair Value would be compared to cost to determine whether the portfolio company returned capital to the fund. The May 2020 distribution to the investors would be treated consistently with this determination.

Clawback Reserve Policy

Refer to EnCap Compliance Manual.

Fund Gross Return Calculation Procedures

1. In columnar format, input the date and amount of each investment funding and distribution received to/by the Fund during the current quarter. Investment fundings should be inputted as negative numbers, while distributions should be positive. Note: This should be an inception-to-date listing of all investment fundings and distributions; accordingly, in future quarters add on quarterly fundings and distributions to the prior quarter's inception-to-date listing. These dates and amounts can also be reconciled to the quarterly Investment Status Report.

2. At the end of the listing of cash flows created in step #2 above, input the current quarter end date and the fair value, net to the Fund, of the remaining unrealized portfolio company investment as the terminal value.

3. At the bottom of the Excel schedule utilize the XIRR function to calculate the Gross IRR as follows:

If a positive % is expected
=XIRR([Cash flow amounts and terminal value], [Cash flow dates],0.1)

If a negative % is expected
=XIRR([Cash flow amounts and terminal value], [Cash flow dates],-0.1)

4. Create a SUMIF function to add together all cash flows that are negative (fundings) to calculate an inception-to-date fundings amount as follows:

=SUMIF([Cash flow amounts],“<0”, [Cash flow amounts])

Ensure that this total agrees to the quarterly Investment Status Report.

5. Create a SUMIF function to add together all cash flows that are positive (distributions) to calculate an inception-to-date distributions amount as follows:

=SUMIF([Cash flow amounts],“>0”, [Cash flow amounts])

Ensure that this total agrees to the quarterly Investment Status Report.

6. Calculate the Gross ROI as follows: =([ITD Distributions + Terminal Value])/-([ITD Contributions]).

Fund Net Return Calculation Procedures

1. Choose one Limited Partner (“LP”) from a particular Fund. Input the LP’s name and their pro-rata share of fund commitments (percentage ownership) at the top of the Excel schedule.

2. Utilizing the Investran Report Wizard, run the “Statement of Partner Capital – Crystal” report within the “_EnCap Main Fund Financial Reports” folder for the above chosen LP/Fund as of the current quarter end date. Then, in columnar format, input the date and amount of each capital call paid and distribution received by the LP to/from the Fund during the current quarter. Capital calls should be inputted as negative numbers, while distributions should be positive. Note: This should be an inception-to-date listing of all capital calls and distributions; accordingly, in future quarters add on quarterly capital calls and distributions to the prior quarter’s inception-to-date listing. These dates and amounts can also be reconciled to the Treasury department’s capital call and distribution spreadsheets prepared for LP’s.

3. At the end of the listing of cash flows created in step #2 above, input the current quarter end date and a formula to recalculate the LP’s ending Partner’s Capital balance, the terminal value, as follows:

- Master/Parallel Fund = Total Limited Partner’s Capital divided by (1 – GP pro rata share of commitments) multiplied by the LP’s pro-rata share of fund commitments from step #1.

- Feeder Fund = Total Limited Partner’s Capital multiplied by the LP’s pro-rata share of fund commitments from step #1.

The terminal value should be a positive number. Compare this total to the ending PCAP balance per the report in step #2 to ensure materially accurate (within $10).

4. At the bottom of the Excel schedule utilize the XIRR function to calculate the Net IRR as follows:

If a positive % is expected
=XIRR([Cash flow amounts and terminal value], [Cash flow dates],0.1)

If a negative % is expected
=XIRR([Cash flow amounts and terminal value], [Cash flow dates],-0.1)

5. Create a SUMIF function to add together all cash flows that are negative (capital calls) to calculate an inception-to-date capital calls amount as follows:

=SUMIF([Cash flow amounts],“<0”, [Cash flow amounts])

Ensure that this total agrees to the inception-to-date column on the Crystal PCAP report utilized in step #2.

6. Create a SUMIF function to add together all cash flows that are positive (distributions) to calculate an inception-to-date distributions amount as follows:

=SUMIF([Cash flow amounts],“>0”, [Cash flow amounts])

Ensure that this total agrees to the inception-to-date column on the Crystal PCAP report utilized in step #2.

7. Calculate the net ROI as follows: =([ITD Distributions + Terminal Value])/-([ITD Contributions]).

EnCap Investments L.P.
Regulatory Reporting Process

Refer to EnCap Compliance Manual.

EnCap Investments, L.P.
Valuation Policy and Procedures

Refer to EnCap Compliance Manual.

EnCap Investments L.P.
Custody and Safeguarding of Fund Assets

Refer to EnCap Compliance Manual.

EnCap Investments L.P.
Tax Process

Tax Compliance and Reporting Process

Melissa Standley, Head of Tax, Caleb Allen, Senior Manager-Tax, Leigh Anne Hooper, Tax Senior Leslie Smith, Legal and Compliance Administrator, and the Accounting Assistant are responsible for the timely preparation, review and filing of the federal, state, and international tax returns for the various EnCap entities. At present, the Accounting Assistant role is shared by other members of the group.

The tax compliance process for the current tax year begins in November and ends in October of the following year. The Head of Tax and Tax Senior Manager distribute the tax and financial reporting packages to the portfolio company financial contacts in November through the Onesource database. Information is due to the tax department in November and at various dates between January 28th and April 15th.

The Tax Senior Manager, Tax Senior and Accounting Assistant are responsible for the preparation, distribution, and collection of approximately 1,000 signed state non-resident tax agreements and Canadian exemption letters from investors annually. The Accounting Assistant prepares and distributes all non-resident tax affidavits for the tax year on or before January 31st of the following year. The Accounting Assistant also monitors all expiring Canada exemption letters and coordinates with PwC to ensure timely renewal. The Tax Senior reviews the state non-resident tax agreements and summary schedules before they are provided to PwC for inclusion in the Fund state returns. The Head of Tax and Accounting Assistant review the information on file for the Canada exemption letters annually. The Head of Tax reviews all documentation and processes annually or more often if needed.

All portfolio company financial information received is reviewed by the Head of Tax. Financials are requested through OneSource. Portfolio companies are asked to upload their financials to a OneSource template and complete a summary schedule in the template of their balance sheet information. The Accounting Assistant downloads all electronic copies of quarterly financial statements and saves them to the K drive. The Tax Senior and Accounting Assistant follow up on missing information by email. The balance sheet information is summarized quarterly and annually in OneSource. If a portfolio company did not complete a template, the Accounting Assistant enters the balance sheet information from the company financials. All balance sheet information is then exported into a summary spreadsheet and reviewed by the Tax Senior. All input is verified against the portfolio company financials, provided to the Head of Tax for a final review, and then provided to Jason Hajdik for inclusion in the portfolio company valuation analysis. The balance sheet information is then reviewed by the investment staff for reasonableness.

All portfolio company tax information is reviewed for accuracy by the Tax Senior and Tax Senior Manager and then by the Head of Tax. The federal, Canada and state K-1 information for each Fund is summarized in an EnCap spreadsheet through Onesource and reviewed by the Tax Senior for missing information or inconsistencies. Also prepared are estimate and expected federal and state allocations using the information. The input is reviewed by both the Head of Tax and Tax Senior Manager. All K-1s and other necessary tax information are provided to PwC through OneSource. PwC prepares the Fund level federal K-1s and workpapers and provides summary allocation schedules to the Tax Senior, Tax Senior Manager and Head of Tax for final review by March 31st. The Tax Senior and Tax Senior Manager compare the PwC summary allocation schedules to the EnCap spreadsheet for accuracy. Once the PwC allocation schedule is approved by the Tax Senior Manager and the Head of Tax, PwC releases the K-1 schedules and depletion to EnCap. The Tax Senior and Tax Senior Manager audit the K-1s for errors and completeness. If no changes are found, all K-1 information is uploaded to the Data Exchange website and an email is sent to all investors notifying them that the federal K-1 information is available. The same process is applied to the state tax K-1 process. All investor federal and Canada K-1s are published on March 31st or shortly thereafter. All state K-1 equivalents are published by June 1st or shortly thereafter.

All Canada partnership returns are filed by March 31st and all Canada corporate returns are filed by June 30th. All US federal and state returns are extended, and extension payments are made, if applicable by their original due date. The complete federal and state returns are then fully prepared by PwC, reviewed by the Tax Senior and Tax Senior Manager. The Head of Tax reviews all federal and Canadian returns prior to filing. Select state returns with significant activity are reviewed by the Head of Tax prior to filing. All returns are filed on or before the extended due dates of September 15th or October 15th, as applicable.

Fund IX has legal entities in the Netherlands and the UK. The Dutch and UK tax returns are prepared by PwC Netherlands and PwC UK. These reports and returns are reviewed by the Head of Tax and Intertrust in the Netherlands and UK before they are filed.

All tax returns received from PwC are recorded in the Onesource calendar. The payments due are recorded in the Onesource calendar by the Tax Senior or Accounting Assistant and noted as filed or extended. Any tax payments required with the tax returns are submitted to accounts payable by the Head of Tax or Tax Senior Manager. The Tax Senior Manager receives all checks to include with the tax returns before mailing. The Tax Senior Manager then submits the completed returns and payments to the Accounting Assistant for certified mailing. The Accounting Assistant then updates the Onesource calendar with the date the return was mailed. The Accounting Assistant monitors the delivery of the returns through the USPS internet system and prints delivery confirmation for all returns to be included with our file copy of the tax return.

The Legal and Compliance Administrator works with accounts payable to prepare and timely file the 1099s by their due date of January 31st. The Legal and Compliance Administrator also files the Delaware annual reports by March 1st or June 1st and manages all registered agent filings and fees for the multiple fund entities. The Head of Tax and the Senior Tax Manager review the process and assist as needed.

The Head of Tax, Tax Senior Manager or Tax Senior also responds to state and federal tax notices on an as needed basis. All notices are reviewed and addressed promptly. Any IRS or state audits are managed by PwC with coordination by the Head of Tax and Tax Senior Manager. The Head of Tax and Tax Senior Manager provide information necessary to respond to auditor requests to PwC in a timely manner.

Tax Projections and Estimates

The Tax Senior Manager and Tax Senior prepares detailed calculations of estimated state and federal taxes for the Fund corporate blockers on a quarterly basis. The estimated tax calculations are reviewed by the Head of Tax and then provided to PwC for their review. The Head of Tax is responsible for the timely remittance of estimated tax payments by April 15th, June 15th, September 15th and December 15th. All payments are submitted to Accounts Payable for payment by check and to Treasury for electronic payment. The Tax Senior Manager receives all checks to include with the tax remittance form and submits to the Accounting Assistant for mailing. The Onesource calendar is updated by the Tax Senior or the Accounting Assistant to include any estimated tax payments. Additionally, the Tax Senior Manager calculates the estimated taxes to withhold from each distribution on an investor-by-investor basis. All estimates are reviewed quarterly by the Head of Tax. Any true-ups to the amounts withheld are adjusted with the next major distribution. Once the final federal and state returns are filed, the investor withholdings are adjusted to the final amounts and corrected with the following scheduled distribution.

FATCA/ECI/FDAP/FIRPTA Withholding and Reporting

The EnCap Funds are responsible for withholding US taxes from foreign investors under the rules of IRC Sections 1441 – 1443, 1445, 1446 and 1471-1474. The Head of Tax is responsible for reviewing all documentation from all investors indicating their US and UK indicia. The Head of Tax reviews all W-9s, W-8s and FATCA self-certifications to determine if sufficient documentation has been obtained to avoid withholding on distributions. This information is reviewed when a new fund is established and annually for all funds. The Legal and Compliance Administrator organizes the documentation and updates a master spreadsheet that details the essential W-9 and W-8 information obtained from the investor. The Head of Tax compares this spreadsheet to the documentation and requests additional information from investors as needed. If sufficient documentation is not provided, the Head of Tax calculates the withholding tax that is required at the time of distribution under each of the IRC sections mentioned above.

Withholding taxes are timely remitted as required. The Head of Tax notifies the Controller of the taxes that should be remitted to the IRS through EFT transfer. All withholding taxes are then reported annually to the investors on Form 1042, 8802 or other foreign withholding forms as appropriate.

Annually, all FATCA reports must be filed in The Netherlands, The UK and the Cayman Islands. Additionally, the Cayman Islands requires CRS reports for each Cayman entity. The Head of Tax is responsible for the timely and accurate reporting of all FATCA and CRS reports.

The Legal and Compliance Administrator assists the Head of Tax with the collection of all FATCA and CRS supporting documentation. Initially, investor FATCA and CRS documentation is collected through the subscription documents. The Legal and Compliance Administrator reviews the FATCA and CRS documentation and summarizes this information in an Excel workbook. The Head of Tax reviews the summary and compares to the original source documentation. This information is used by the Head of Tax to complete the FATCA and CRS reporting requirements for each Cayman entity.

Annually thereafter, the supporting documentation is reviewed by the Legal and Compliance Administrator and the Head of Tax for expiring documents. The Legal and Compliance Administrator follows-up with investors to collect updated information. The Legal and Compliance Administrator updates expired W-8s for EnCap Fund entities and the Head of Tax Reviews. Additionally, the Head of Tax compares investor assignments to the FATCA and CRS documentation on file quarterly and at the time of distributions to maintain current documentation required for withholding purposes.

EY has been engaged to review and file the Cayman FATCA and CRS filings. The CFO approves all filings annually.

Financial Reporting

The Head of Tax is responsible for the preparation of the income tax provisions for the "B" and "C" Fund audited financial statements and quarterly unaudited financial statements. Annually, the Tax Senior prepares the provision to return for the prior year and the Tax Senior Manager reviews. All summarized K-1 information collected as of March 15th from the tax return preparation process is included in the Fund tax provisions and is reviewed by the Tax Senior Manager.

Annually and quarterly, the current tax provision, deferred tax schedules, and taxes payable account rollforward is prepared by the Tax Senior and reviewed by the Tax Senior Manager. The Head of Tax then reviews the tax provision workpapers. The Head of Tax compares the book income before tax per the financials to the provision workpapers and then updates the financial statements and footnotes for the calculated tax provision. The Director and VP of Financial Reporting reviews the changes made by the Head of Tax. Once verified, the Head of Tax provides the supporting workpapers to the PwC audit team for review.

The tax department also assists with the calculation of the special allocations for the GP entity by dividing the GP contributions and distributions into predefined buckets that follow the partnership agreement allocations. The Tax Senior Manager tracks the portfolio company commitments back to the CFO's Investment Status Report and filtered into the year, or buckets, of commitment. If a portfolio company's commitment has been expanded, the expanded portion will be tracked back to its own bucket. The contributions are tracked in total Fund amounts in this exercise. The Head of Tax reviews the allocations. When a distribution is made, this updated schedule is provided to the Head of Tax to include in a summary spreadsheet that allocates the distribution among the GP partners' funded interests and the carried interests. This summary schedule is then provided to Treasury for use in the distribution calculation.

The Tax Senior Manager and Head of Tax also review the GP and Employee Fund financials to verify that all tax payments and withholdings have been recorded on the proper legal entity's books. The Tax Senior Manager and Head of Tax also review the partner capital rollforward of each GP legal entity above the Fund and verify that the contributions and distributions tie to the actual cash (or deemed cash in the case of state withholdings) received or paid by each beneficial partner.

Legal and Special Projects

In addition to the above processes, the Tax Department is responsible for the following items:

- Evaluate the impact of new tax legislation, tax planning opportunities and tax compliance issues.
- Coordinate with legal regarding new Fund formation documents, intercompany loan documents, dissolution of inactive entities and other tax related legal matters.
- Assist investment staff with tax issues and questions related to legal restructures, sales agreements and portfolio company formation structures.
- Administer 401(k) Controlled Group analysis and compliance issues.
- Compile and review insurance policies and general business information provided by portfolio companies for analysis.
- Update promissory notes and documentation related to intercompany loans between the feeder funds and the blocker entities.
- Coordinate with PwC annually to update the interest rate studies for the intercompany loans.
- Manage and respond to all IRS and state audits.
- Collect, summarize and maintain all portfolio company, fund and investor legal documents.